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BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

RESPONDENT'S MOTION FOR LEAVE TO FILE THIRD PARTY COMPLAINT

Pursuant to 46 C.F.R. 502.62(b)(4), 46 C.F.R. § 502.66(a), and 46 C.F.R. § 502.69 of the Federal Maritime Commission’s Rules of Practice and Procedure Respondent SM LINE CORPORATION ("SM Line" or "Respondent"), by and through its undersigned counsel, hereby submits this Motion requesting leave to file a Third-Party Complaint.

I. MOTION TO FILE THIRD PARTY COMPLAINT

a. BACKGROUND

In this proceeding, Complainant SAMSUNG ELECTRONICS AMERICA, INC. (“SEA” or “Complainant”) seeks reparations from Respondent for storage charges imposed on and collected from Complainant. Respondent did not assess, collect or receive all or any portion of the storage charges herein at issue. Following early discovery, two affiliates of Complainant are now understood to be responsible for these charges: [REDACTED]

[REDACTED]

[REDACTED]. In short, Complainant is seeking to recover monies from the Respondent that Claimant's own subsidiaries billed and obtained payments from SEA.

SEA participated and benefitted both economically and commercially from the service contracts with Respondent that were signed by [REDACTED], respectively. [REDACTED] are experienced participants in the shipping industry and hold a significant interest in this case. [REDACTED] were deeply and critically involved in handling much of SEA's export (from overseas origins) services as well as import (to United States) services business, including but not limited to inland delivery service, including but not limited to handling inland delivery, and trucker management services for SEA's shipments. [REDACTED] played a material role acting as the representative of SEA's interests by working closely with SEA in providing the inland delivery services as well as SEA's nominated truckers (Customer Nominated Truckers or "CNT"). Respondent had nothing to do with these inland trucker deliveries. There is no doubt that [REDACTED] is the signor of the service contract with SM Line and its affiliated company, [REDACTED], a licensed Non-vessel operating common carrier (or "NVOCC"), with [REDACTED], actively engaged in handling and managing import service and inland delivery services for SEA. There is also no doubt that [REDACTED] actively engages in shipping and logistics business in the United States. See [REDACTED]

Not only are both [REDACTED] acting in the shipping and logistics industry sufficient to confer jurisdiction on this issue, they are also both signatories on the service contracts and service agreements with Respondent. Attached hereto as "**Exhibit A**" is a true and correct copy of the service agreements between [REDACTED]. Attached here to as "**Exhibit B**" is a true and correct copy of the service contracts between [REDACTED]. Attached here to as "**Exhibit C**"

is a true and correct copy of the service agreements between [REDACTED]. Attached here to as “**Exhibit D**” is a true and correct copy of the service contracts between [REDACTED]. These exhibits contain agreed upon terms prescribing limits on demurrage and detention and who shall bear the burden of such costs. *See* Ex. A § 4.2.15; *see also* Ex. C. § 4.2.12. It should also be noted that [REDACTED] handled RFQ (Request for Proposal) processes and other bidding processes with many ocean carriers, including SM Line on behalf of itself and for SEA.

Importantly, under the aforementioned service contracts (attached as Exhibits B and D), the Respondent’s tariff terms are incorporated by reference. Attached hereto as “**Exhibit E**” is a true and correct copy of SM Line’s Tariff Rule Detail, effective March 28, 2017 and named “SM Line SERVICE CONTRACT PUBLICATION FMC-202”. Exhibit E contains provisions relating to CNT and preferred trucker (“PT”) nominations:

If CNT or PT does not or refuses to pick up nor take possession of the applicable containers within the given free time for any reason (including but not limited to change(s) in rates or lack of drivers, any risks or costs (including but not limited to DEM/DET) that occur during this time of the trucker’s non-performance shall solely be with Customer.

Ex. E, § 9.7. Furthermore, Attached hereto as “**Exhibit F**” is a true and correct copy of SM Line’s Tariff Rule Detail, effective March 1, 2017 and named “SM Line Corporation BILL OF LADING TARIFF”. Exhibit F contains provisions relating to indemnification of SM Line:

(a) Each Merchant shall be jointly and severally responsible for any failure to perform any Merchant's obligations under any of the terms of this Bill of Lading; and each shall indemnify, defend and hold harmless the Carrier against all liability, loss, damages and expense, including attorneys fees and other legal fees, which the Carrier may sustain or incur arising or resulting from any such failure of performance by the merchant or any of them. The responsibility of each merchant shall not be diminished by the existence of any lien claim on the Goods.

Ex. F, §10(a). Considering [REDACTED]'s critical roles in this dispute, SM Line should be granted leave to file its third-party complaint.

b. LEGAL STANDARD

The Commission's Rules of Practice and Procedure do not expressly provide for the filing of third-party complaints, but implicitly recognize that such complaints may be filed. See, e.g., 46 C.F.R. §§ 502.62(b)(4), 502.66(a) and 502.67. Moreover, under 46 C.F.R. § 502.12, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent they are consistent with sound administrative practice.

Third-party complaints are governed by Fed. R. Civ. P. 14. Fed. R. Civ. P. 14 permits filing of third-party complaints as a matter of right within 14 days of the filing of an answer. Beyond that time, third-party complaints may be filed with the leave of the court. This motion is being filed because more than 14 days have lapsed since Respondents filed their answer.

A motion for leave to file a third-party complaint is addressed to the sound discretion of the trial court. *Kopan v. George Washington Univ.*, 67 F.R.D. 36, 38 (D.D.C. 1975). Numerous factors guide the court's discretion in determining whether the third-party complaint should proceed, including: "(1) potential prejudice to plaintiffs or [the third party defendant]; (2) whether the impleader will add new and complicated issues that will threaten the orderly and prompt resolution of the case and delay the trial; (3) whether defendants unreasonably delayed in filing the third party complaint; and (4) whether the third-party complaint is so insubstantial that it fails to state a claim." *Disability Rights Council of Greater Washington v. WMATA*, No. 04-498, 2006 WL 1102767, at *1 (D.D.C. Apr. 26, 2006).

Additionally, courts must consider the underlying purpose of Rule 14, "which is to avoid circuity of action and eliminate duplication of suits based on closely related matters." *Id.* There is

no doubt that now or later SM Line will seek reimbursement and indemnity from [REDACTED] for any monies awarded to SEA. So long as the third-party action is “proper” and does not prejudice the other parties, motions for leave under Rule 14(a) should be granted. *See* 6 Charles Alan Wright, et al., *Federal Practice & Procedure* § 1443 (3d ed. 2007) (noting that “if the claim is a proper third-party action and will not prejudice the other parties or unduly complicate the litigation, there is no reason to deny an application under Rule 14(a)). Courts have also held that motions for leave to file third-party complaints should be liberally granted. *See, e.g., Parker v. John Moriarty & Assoc.*, 249 F. Supp.3d 507, 512 (D.D.C. 2017).

c. RESPONDENTS’ MOTION MEETS THE LEGAL STANDARD

Respondents’ motion for leave to file a third-party complaint meets the standard set forth above and should be granted.

i. GRANTING THIS MOTION WILL NOT RESULT IN PREJUDICE

Granting this motion and permitting the filing of a third-party complaint will not result in prejudice to Complainant or to the third-party defendants. Respondents have on more than one occasion apprised Complainant of its intention to file this third-party complaint. As such, Complainant is aware of and has been prepared for the addition of [REDACTED]. Further, [REDACTED] are alleged to be affiliates of Complainant. Accordingly, the prospective third-party defendants are likely aware of this proceeding and have the benefit of Complainant’s knowledge, discovery, and other preparation of materials before the Federal Maritime Commission up to this point.

Even if SM Line’s “heads up” to SEA and SEA’s affiliation with [REDACTED] are not enough to alleviate prejudice, the fact that both [REDACTED] are signatories to service agreements and service contracts with SM Line at issue in this proceeding should be. Further, we

had notified [REDACTED] of the claim filed by SEA. We also sent a tender of defense letter for which we have not received any kind of response. Finally, the prospective third-party defendants are not prejudiced because the case is still in discovery and with the extended scheduling order, there is plenty of time to prepare and defend against any claims brought forth.

ii. ADDITION OF THIRD-PARTY DEFENDANTS DOES NOT COMPLICATE THE PROCEEDING

Granting this motion and allowing the third-party complaint will not add new and complicated issues that threaten the orderly and prompt resolution of this case. First, the Federal Maritime Commission holds jurisdiction over the two entities and their respective and possibly violative (unreasonable and unfair) practices. [REDACTED] is a licensed NVOCC and Logitech actively engages in shipping and logistics in the United States.

Second, this case fundamentally involves the actions of the proposed third-parties due to the service agreements and service contracts forming a major part of SEA's business relationship with SM Line. As stated above, both prospective third-party defendants are believed to be affiliates of SEA.

Third, the claims proposed to be brought against [REDACTED] directly relate to the same fundamental issues already presented in the case and more specifically focus on indemnification claims. Courts have held that basic indemnification claims are not found to complicate matters at a trial because those third-party claims typically involve the same factual circumstances as the underlying complaint. *Millers Capital Ins. Co. v. Hydrofarm, Inc.*, 340 F.R.D. 198, 221 (D.D.C. 2022).

Moreover, [REDACTED]'s contracts, amendments, handling of import services, including but not limited to the said inland delivery services (eg. trucker dispatch work) and providing other services for SEA's shipments will all be topics in discovery that are necessary

and critical to the fair resolution of this dispute. Given that [REDACTED] will necessarily be involved in discovery in this very same proceeding, the addition of these two entities as parties would not adversely impact the orderly and prompt resolution of this proceeding, but in fact should make this proceeding much more efficient as there will be no ambiguous holes left in the fact scenario surrounding the intention and practice of the parties in handling the land portion of the subject shipments.

iii. THERE HAS BEEN NO UNREASONABLE DELAY IN FILING

This motion is being filed as soon as reasonably possible. The Commission is aware that Respondent is rapidly preparing the production of tens of thousands of documents in response to Complainant's requests for production of documents. Throughout these early stages of discovery, Respondent has only recently identified these specific third-party defendants. As soon as it was feasible to confirm the fundamental bases for these claims, Respondent prepared its' motion for leave to file its third-party complaint. Accordingly, there has been no unreasonable delay in filing this motion.

iv. THE THIRD-PARTY COMPLAINT IS SUBSTANTIAL

The proposed complaint is substantial and does not fail to state a claim. There is no dispute that the charges at the heart of this proceeding relate to [REDACTED] because of the aforementioned and attached service agreements and service contracts. Accordingly, a claim that [REDACTED] should be held liable to and defend, hold harmless, and indemnify Respondents should Respondents be ordered to refund the sum in question to Complainant is straightforward and substantial.

II. MEET AND CONFER OBLIGATION

As required by 46 C.F.R. §502.71(a), counsel for Respondents has conferred with counsel for Complainant about this third-party complaint. Despite Respondent's best efforts to obtain Complainant's consent, Complainant opposes this motion.

III. CONCLUSION

Respondents' motion for leave to file a third-party complaint is timely filed. Leave to file such complaints is to be granted liberally, and Respondents' motion complies with all applicable legal standards. Under those standards, there is no reason to deny this motion. Moreover, Respondents believe that granting this motion will facilitate resolution of this dispute and the issues it presents more efficiently than if Respondents were to file a separate complaint against

[REDACTED]

[REDACTED] In light of the foregoing, Respondents respectfully request that this motion be granted.

/s/Wook Chung
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(212) 201-1931 / (212) 867-9500

Dated: October 8, 2023

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 8th day of October 2023, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

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Exhibit A

Exhibit B

Exhibit C

Exhibit D

Exhibit E

Tariff Rule Detail

Organization	SM Line Corporation (026475)		
Tariff Code	SMLM-202		
Tariff Name	SM Line SERVICE CONTRACT PUBLICATION FMC-202		
Effective Date	2017-03-28	Publish Date	2017-03-28
Rule No.	102	Rule Name	BOILERPLATE

1. Change in Shipper.If any Shipper undergoes a change in its corporate structure or, if it is a shippers' association, a change in membership, such Shipper shall notify Carrier and provide the documentary confirmation required by law.
2. Tender of Shipments
 - 2.1) During the term of this Contract, Shipper will tender and ship with Carrier the Minimum Volume Commitment and any sub-Minimum Volume Commitment(collectively, MVC) stated in Term 4, except to the extent the MVC is adjusted or excused under the terms of this Contract (Net MVC).
 - 2.2) Unless otherwise stated, Shipper may select the vessels on which its cargo will be carried, but space is not guaranteed on any particular vessel or with any particular frequency, and specific equipment is not guaranteed at any particular location or time. To the full extent possible, shipper shall ship its cargo evenly during this Contract.
 - 2.3) Shipper shall nominate and maintain one (1) loading agent for each cargo origin and shall identify such agent in Term 9. If shipper changes its loading agent, Shipper shall notify Carrier at least (7) days before the related vessel call.
3. Service Commitment. Carrier shall make available the vessel capacity and equipment to carry (a) the MVC required by this Contract and (b) at Carrier's option, any additional cargo tendered by shipper. This commitment is subject to the schedules and service patterns of Carrier. Any customized service commitment shall be in

- Term 5.
4. Rating.
- 4.1) The origin and destination shown on the bill of lading issued by Carrier conclusively determines whether cargo is within the geographic scope of this Contract, whether cargo may be counted toward the MVC, and the applicable rates and charges.
- 4.2) The date the full bill of lading quantity of cargo is received by Carrier determines whether a cargo movement is during the term of this Contract.
- 4.3) If an individual or mixed commodity tariff rate in the Rates and Rules Tariff is lower than the rate in this Contract, the lower rate will apply and the cargo will count toward the MVC. Any general rate increase published by Carrier in its Rates and Rules Tariff shall be applicable to the corresponding rates or rate in this Contract.
5. Verification of Contract Carryings
- 5.1) Each original and all copies of the bill of lading shall note the number of this Contract. Shipper shall make this designation when the bill of lading is requested and issued. Such designation, or Shipper's failure to designate, is final and shall not be modified after the bill of lading is issued, unless there is inadvertent error. In its sole discretion, Carrier may permit cargo in a bill of lading not so noted to count toward the MVC upon proof of inadvertent error by Shipper.
- 5.2) "For cargo to qualify for this Contract, Shipper must be the shipper/exporter or consignee on the bill of lading. However, if Shipper is the Notify Party on the bill of lading, the consignee is either a bank or ""To order"", and Carrier, in its sole discretion, determines there is sufficient evidence permitting it to conclude the cargo is owned by, consigned to, or moving for the direct account of Shipper, such cargo shall also qualify for this Contract."
6. Force Majeure. ""Force Majeure"" as used herein shall mean any event or circumstance beyond the reasonable control of the party affected by such event or circumstance, including but not limited to, work stoppages, strikes, accidents, casualties, lockouts, fires, transportation disasters, acts of God, governmental restraints (including import restrictions or voluntary quotas arising from the threat of governmental restraints), war or hostilities, embargoes or other similar conditions.

The party whose performance is restrained by Force Majeure shall timely notify the other party in writing of such occurrence and of the effect on its ability to perform its obligations. Publication by Carrier of appropriate notices in widely distributed trade publications shall constitute notice to Shipper under this Article 6.

Upon receipt of such notice, the restrained party shall be excused from its obligations under this Contract to the extent of and for the duration of the restraint, and no cause of action for breach or liability hereunder shall arise as a consequence of such non-performance. The MVC and Carrier's service commitment will be reduced in the proportion the term of the Force Majeure is to the term of this Contract.

If, due to a Force Majeure event, Carrier incurs any additional costs that are beyond its control, including but not limited to fuel surcharges, storage, or other operational costs, all such costs shall be on the account of and paid by the Merchant. Regardless of the Force Majeure situation, Shipper must take delivery of the Goods within the time provided for in the applicable Tariff. If the Merchant fails to do so the Carrier shall be entitled, without notice sell, destroy, dispose of, or to store the Goods at the sole risk and responsibility of the Merchant."

7. Liquidated Damages

7.1) Carrier and Shipper recognize failure to tender the MVC causes revenue losses to Carrier and adverse impact on marketing, logistics and operation by Carrier and a precise quantification of these damages is difficult to calculate.

7.2) Accordingly, to avoid the difficulty and expense of proving actual losses, the Parties agree in lieu of all damages relating to the obligations of Shipper to tender the MVC, liquidated damages are due if Shipper fails to tender the Net MVC under this Contract. In such case, Shipper shall pay to Carrier the difference between the quantity of cargo actually shipped and such Net MVC at the rate of U.S. \$250.00 per FEU. If the MVC is in CBM or WT, liquidated damages shall be calculated by using the conversion formula in Term 13. The amount due shall be paid to Carrier within thirty (30) days after written notice by Carrier. Any liquidated damages for failure to meet any sub-MVC are separate from and in addition to any

other liquidated damages due as a result of Shipper's failure to meet either the total MVC or any other sub-MVC. Each Shipper is jointly and severally liable for these liquidated damages.

- 7.3) If Carrier fails to fulfill its service commitment, Shipper's sole remedy is a reduction in the MVC by the quantity of cargo tendered but not carried and the payment of liquidated damages, as provided in this Contract. In no case is Carrier liable to Shipper for direct, consequential or other damages for non-acceptance or non-carriage of cargo offered under this Contract, nor shall any liabilities or obligations of Shipper be subject to any offset or credit for any monies Shipper may claim are due Shipper under this Contract or otherwise. Before payment of any liquidated damages, Carrier may require firm proof from Shipper that the cargo Shipper asserts Carrier declined was tendered fourteen (14) days before the cut-off for the requested shipment and within seven (7) days following such denial Shipper gave Carrier full documentation of such denial, and the burden is on Shipper to so demonstrate. Upon satisfaction of the terms of this Paragraph 8 by Shipper, Carrier shall pay Shipper such liquidated damages within thirty (30) days. No liquidated damages shall be payable to Shipper if Shipper fails to fulfill the Net MVC.
- 7.4) For the first ten percent (10%) of the MVC which Carrier fails to carry, the MVC shall be reduced. For any other shipments which Carrier fails to carry, Carrier shall pay, and Shipper agrees to accept, in lieu of other damages from Carrier, liquidated damages calculated by subtracting the number of FEUs actually carried from ninety percent (90%) of the MVC (after reduction under any part of this contract except this paragraph) and multiplying any positive number by U.S. \$250.00 per FEU. During each week, the MVC shall not be reduced by more than the number of FEUs which is the product of the MVC divided by the number of weeks in the Contract term. No liquidated damages shall be paid unless Shipper has fulfilled the MVC required by this Contract.
8. Bills of Lading. If any term about liability for loss of or damage to cargo, delays, misdelivery or any provisions mandated by law in Carrier's bill of lading conflicts with another part of the Contract, the bill of lading

shall prevail.

9. Customer Nominated Trucker and Preferred Trucker

- 9.1) When Customer (including but not limited to shipper, consignee, or any other interest party (eg. owner of the cargo) nominates its own trucker(s) (hereinafter “CNT”) or prefers to use particular trucker(s) (hereinafter “PT”) instead of trucker(s) appointed by Carrier (hereinafter “house trucker”) for certain door delivery(s) to a cargo receiver, the following terms and conditions shall apply :
- 9.2) Carrier will only act as the agent for the customer for purposes of arranging the trucking, and the trucking service is between the trucker and Customer.
- 9.3) Even though Carrier's base rates may be inclusive of inland services (eg. SDD (store door delivery rates)), if CNT or PT imposes a drayage or fuel rate increase, or other charges or fees, any such new or additional amounts shall solely be with Customer.
- 9.4) Delivery to Customer is completed when the container is interchanged to CNT or PT.
- 9.5) Carrier shall not be responsible for any claims, damages, and liabilities that are caused by or occurred after the interchange is made, and Customer shall defend, hold harmless, and indemnify Carrier against or from any and all such claims, damages, or liabilities caused or occurred after the interchange.
- 9.6) Blanket Deliver Order (D/O) shall be applied unless we receive written correspondence from the cargo owner or broker, advising that a specific Delivery Order (D/O) shall be used.
- 9.7) If CNT or PT does not or refuses to pick up nor take possession of the applicable containers within the given free time for any reason (including but not limited to change(s) in rates or lack of drivers, any risks or costs (including but not limited to DEM/DET) that occur during this time of the trucker's non-performance shall solely be with Customer.
- 9.8) Customer, with thirty (30) day prior written notice, may opt out of CNT or PT arrangement and request for Carrier to use Carrier's house-trucker(s). Carrier, at its exclusive discretion and availability of trucking service provider, may agree to such request. Any cost (including but not limited to increased rates, and any DEM/DET

during the time) of hiring and utilizing different truckers shall solely be with Customer.

- 9.9) This term shall not be subject to any amendment or modification except by clearly agreed upon and executed agreement by Carrier and Customer.
10. Bond. Shipper acknowledges Carrier relies upon Shipper to have sufficient financial resources to meet its obligations under this Contract. Before the effective date of this Contract and for thirty (30) days following, if Carrier believes Shipper may not have sufficient financial resources or Shipper's commercial practices pose a risk Shipper will not satisfy such obligations, (a) Carrier may require Shipper to provide a recent audited financial statement prepared by a certified public accountant (or equivalent in the country where Shipper has its main office) and (b) if Carrier believes Shipper's financial condition or commercial practices create a risk Shipper will not meet such obligations, Carrier may require Shipper to provide a bond or other surety in form and manner satisfactory to Carrier equal to the maximum liquidated damages to which Shipper may be subject under this Contract. If Shipper fails to provide such financial statement or surety (each within seven (7) days of demand by Carrier), Carrier may refuse to file this Contract with the FMC and may terminate this Contract upon seven (7) days written notice to Shipper without liability to Carrier in which case the cargo shall be rated under the Rates and Rules Tariff.
11. No Assignment. No Party may sub-contract, assign or transfer this Contract, in whole or in part, without the prior written consent of all other Parties. This Contract shall inure to the benefit of and be binding upon the successors and permitted assigns of the respective Parties. If Shipper is an NVOCC, it may include for transportation under this Contract cargo which is co-loaded with other NVOCCs in full compliance with applicable law. With the exception of such co-loading, Shipper may not permit any other person or entity to co-load or permit such other cargo to be tendered under this Contract. If Carrier, in its exclusive discretion, has reason to believe the Contract has been assigned, in whole or in part, by Shipper or Shipper has otherwise violated this Paragraph 11, Carrier may require Shipper to produce documentation evidencing Shipper's compliance. If Shipper does not produce such documentation within

thirty (30) days of Carrier's request, Carrier shall be entitled to conclude Shipper has violated this provision. Any tender in violation of this provision shall be rerated at twice the otherwise applicable rates and charges in the Rates and Rules Tariff, and Carrier may also, at its option, terminate this Contract.

12. Modification. No amendment, correction, cancellation, adjustment, final settlement or change to or of this Contract shall be effective unless in writing, signed by the Parties as required by FMC regulation, and duly filed with the FMC. Carrier may terminate this Contract upon fifteen (15) days written notice to Shipper, if Carrier has carried the Net MVC. Upon mutual agreement, the Parties may cancel this Contract during its term and the MVC shall be prorated.
13. Contract Records. The Shipment records required to be maintained under FMC regulations shall be copies of bills of lading (or the same data in paper or electronic format), and any correspondence, amendment, correction, cancellation, adjustment, final settlement or change. The Pricing Manager- SM Line Corporation, America Regional Sales Office, 1750 East Northrop Boulevard, Chandler, Arizona 85249, e-mail kchin@smllines.com, will respond to a request from the FMC for shipment records.
14. Notices. Notices under this Contract shall be sent to (a) Carrier to the person identified in Paragraph 13 above and (b) Shipper to its address listed in Term 9 of this Contract. These addresses may be changed upon thirty (30) days written notice from the changing Party. For notice to a Shipper for which there is no address in this Contract, notice to Shipper signing this Contract shall be sufficient. All notices shall be in writing and (except for a change of address) effective (a) three (3) days after dispatch by U.S. certified mail, return receipt requested or (b) upon actual notice, if sooner.
15. Interpretation. "The terms (Terms) are terms of the Contract on the papers signed by the Parties. The paragraphs (Paragraphs) are the terms of the Contract contained in the Service Contract Boilerplate. The titles of the Terms and Paragraphs are for convenience only and shall have no bearing on the interpretation of this Contract. When appropriate in the context, the singular shall include the plural, the plural shall include the singular, and the masculine, feminine and neuter shall include the other. No portion of this Contract shall be

construed against Carrier because it is the drafter of the Contract. All Appendices are incorporated by reference. All dollar (\$) amounts are United States dollars. Any reference to a day or time shall be the day or time in the place of the transaction. No waiver shall be effective unless signed by the Party making the waiver. A waiver shall not be construed to be a waiver of any subsequent or continuing event. If any portion of the Contract is found by competent authority to be invalid or unenforceable, such finding shall not be construed to invalidate or make unenforceable any other provision of this Contract, which shall remain in full force and effect."

16. Confidentiality. Each Party agrees to keep the identity of the other Party confidential from third parties, except as it must be disclosed to the FMC in a confidential contract filing or with the consent of the other Party.

17. Applicable Law / Disputes

17.1) This Contract is subject to the U.S. Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998, and shall otherwise be construed and governed by the laws of the State of New York, except for its choice of law rules.

17.2) For any and all loss or damage to cargo alleged to have occurred between the Place of Receipt to the Place of Delivery under the bill of lading, which shall include inland carriage portion through a sub-contracted inland carrier, the responsibility of the Carrier shall be determined in accordance with the U.S. Carriage of Goods by the Sea Act ("COGSA"), including, but not limited to any limitation of liability contained

therein. 17.3) In the event of a dispute under this Contract, the

parties to the dispute shall attempt to resolve it amicably by direct good faith negotiations between a senior executive of each such party. If there is no resolution by such negotiations within thirty (30) days, the dispute shall be resolved by arbitration in New York, New York under the Commercial Rules of the Society of Maritime Arbitrators (SMA). The arbitration shall be before a single arbitrator appointed by the parties to the dispute or, failing such agreement, upon the application of any such party to the SMA. There shall be no restrictions on the nationality of the arbitrator. Except by agreement of the parties to the

dispute, there shall be no pre-hearing discovery. The costs and expenses of the arbitration (including reasonable attorneys' fees and costs) shall be borne by each party. The decision of the arbitrator shall be final, binding, no subject to further review, and enforceable by any court, tribunal or other forum having jurisdiction. The Parties consent to the personal jurisdiction of and venue in any State Court in New York and the United States District Court for New York (collectively, a New York Court). The parties agree any such award may be enforced pursuant to the United Nations Convention on the Recognition and Enforcement of Foreign Arbitral Awards of June 10, 1958. If a Party that has prevailed in arbitration finds it necessary to enforce the arbitrator's decision and award, such Party shall receive from the non-prevailing Party the costs and expenses of such enforcement, including reasonable attorney's fees and costs. 17.4) For a matter

subject to arbitration under this Contract,

if a Party starts an action in any other forum, such Party shall be liable for any and all reasonable attorneys' fees and costs incurred by any other Party defending that action.

17.5) As an exception to Paragraphs 17.3 and 17.4, if a Party against which liquidated damages have been assessed by written notice from the other Party has not contested in writing its liability for such assessment within thirty (30) days after notice of assessment is sent, the notifying Party may bring an action to collect liquidated damages directly in a court of competent jurisdiction, and provided further that Carrier may bring an action for unpaid freight or charges due for transportation services performed for Shipper in any court of competent jurisdiction. The Parties consent to personal jurisdiction and venue in any State Court in New York. In such event, the Party obligated to pay such sums shall be liable to the Party owed such sums for interest on the principal sum on and after the due date plus reasonable attorney's fees and costs.

18. Extra Cost. "Notwithstanding other provision of this Contract, including but not limited to any no-new-surcharge clause, Shipper shall be subject to any rule in the Governing Tariff establishing a charge relating to any of the following circumstances or charges arising or taking effect subsequent to the effective date of

this

Contract: a strike, lockout, work stoppage, or other labor unrest; origin or destination port or inland congestion; security requirements or costs; taxes, fees or charges levied by any federal, state or local governmental entity, or by any port or harbor authority; increased inland transportation costs resulting from federal, state, or local legislative or regulatory action, including action by any port or harbor authority; or clean air requirements."

19. Right to Audit. Carrier reserves the right to perform an audit of all shipments and Shipper may be requested to provide the appropriate commercial documentation to document that the Contract is being used by the Shipper and not by any unauthorized party. This may include, if the Shipper is an intermediary, proof that the specific shipment is on behalf of a named account specified in the Contract. Failure to provide required documents within 14 days shall be a breach of this Contract and therefore subject Shipper to penalty and possible contract termination. Shipper shall compensate Carrier for any difference in applicable freight and additional charges if it is found the rate used is not used as authorized under this Contract, including but not limited to for a named account, if applicable. If the audit shows the Contract has not been used for appropriate shippers as provided in this Contract, Carrier at its sole option may also serve a 10 day advance notice in writing to Shipper to terminate this Contract with contract MQC prorated per the actual contract duration for the purpose of dead freight calculation.

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Exhibit F

Tariff Rule Detail

Organization	SM Line Corporation (026475)		
Tariff Code	SMLM-021		
Tariff Name	SM Line Corporation BILL OF LADING TARIFF		
Effective Date	2017-03-01	Publish Date	2017-01-06
Rule No.	8	Rule Name	BILL(S) OF LADING

RECEIVED by the Carrier from the Shipper in apparent good order and condition unless otherwise indicated herein, the Goods, or the container(s) or package(s) said to contain the cargo herein mentioned, to be carried subject to all the terms and conditions provided for on the face and back of this **Bill of Lading** by the vessel named herein or any substitute at the Carrier's option and/or other means of transport, from the place of receipt or the port of loading to the port of discharge or the place of delivery shown herein and there to be delivered to Consignee or on-carrier on payment of all charges due thereon.

1. DEFINITIONS

When used in this **Bill of Lading**:

- (a) "**Bill of Lading**" means this contract of carriage for the Goods made between Carrier and Merchant, effective for all modes of transport from place of receipt to place of delivery.
- (b) "Carrier" means SM LINE Corporation, its vessel, agents and subcontractors at all stages of carriage; in context of Multimodal Transportation, "Ocean Carrier" means SM LINE Corporation, the vessel, her owner, operator and charterers and the agents and subcontractors of each; "Inland Carrier" means any barge line vessel, trucker or railroad with custody of the Goods under this **Bill of Lading**, and agents and subcontractors of each.
- (c) "Goods" means the whole or any part of the cargo and any packaging received from the Merchant and includes any equipment or Container not supplied by or on behalf of the Carrier.
- (d) "Multimodal Transportation" means carriage of the Goods

under this **Bill of Lading** by the Ocean Carrier and one or more Inland Carriers for a single freight charge to the Merchant.

(e) "Laden on board" means physically laden on board the first means of transport operated in the service of the Carrier.

(f) "Merchant" means any actual or previous holder of this **Bill of Lading**, and shall include shipper, consignor, consignee, owner and receiver of the Goods, and any persons having a present or future interest in the Goods or any persons acting on their behalf.

(g) "Package" means the single largest unit of Goods (e.g., container, pallet, vans, trailer, box, bale as described on the face of the **bill of lading**) delivered by Merchant to Carrier for carriage pursuant to the terms of this **Bill of Lading**. However, Goods shipped in (containerized) bulk shall be deemed to consist of one Package only.

(h) "Particulars" is the description of the Goods provided by the Merchant to the Carrier, and shall include all manner of description, marks, numbers, weight, measure, nature and value of the items constituting the Goods.

(i) "Subcontractor" identifies all interests engaged in owning, operating or chartering the vessel, lighterers, feeder line, stevedores, terminal operators, warehousemen, truckers, railroads, and the agents of each of them, and all other persons or legal entities performing services pursuant to contract with Ocean or Inland Carriers with respect to the Goods.

(j) "Vessel" means the vessel named in this **Bill of Lading**, and includes all assisting or substitute vessels, lighters or other conveyances.

(k) "Freight" includes all charges payable to the Carrier in accordance with the applicable Tariff and this **Bill of Lading**. N.B. The plural shall include the singular, and the singular shall include the plural throughout this **Bill of Lading** : the headings are for information purposes only. Any mention in this **Bill of Lading** of parties to be notified of the arrival of the Goods is solely for information, and failure to give such notification shall not involve the Carrier in any liability nor relieve the Merchant of any obligation.

2. PARAMOUNT CLAUSE

(a) This **Bill of Lading** shall have effect subject to the International Convention for the Unification of Certain Rules relating to Bills of Lading, dated at Brussels 25 August 1924 (The Hague Rules) as enacted in the country of shipment, unless the protocol, dated Brussels 23 February 1968 (The

Hague-Visby Rules) or the United States Carriage of Goods by Sea Act, 1936 (U.S. COGSA, 46 U.S.C. Appendix 1300-1315) apply compulsorily.

(b) when no such enactments are in force in the country of shipment, the corresponding Hague Rules, Hague-Visby Rules or U.S. COGSA legislation (Hague/Visby/COGSA legislation) of the country of destination shall apply, but in respect of shipments to which no such enactments are compulsorily applicable, the terms of the Hague Rules shall apply.

(c) The applicable Hague/Visby/COGSA legislation shall govern throughout the time when the Goods are in the actual or constructive custody of the Carrier. The Carrier takes all reservation possible under the Hague/Visby/COGSA legislation relating to the period before loading and after discharging and while the Goods are in the charge of another Carrier, and to deck cargo and live animals.

3. LITIGATION AND CLAIM

It is hereby agreed that all suit by the Merchant shall be filed exclusively in the High Court of London and English Law shall exclusively apply, unless the carriage contracted for hereunder was to or from the United States of America, in which case suit shall be filed exclusively in the United States District Court, for the Southern District of New York and US law shall exclusively apply. The Merchant agrees that it shall not institute suit in any other court and agrees to be responsible for the reasonable legal expenses and costs of the Carrier in removing a suit filed in another forum. The Carrier may, at its sole option, bring suit against the Merchant in the fora agreed above, or in the countries of the Port of Loading, Port of Discharge, Place of Delivery or in any jurisdiction where the Merchant has a place of business.

4. RESPONSIBILITY

(a) The Carrier shall be responsible for and shall enjoy the immunities and limitation against loss or damage pursuant to the applicable Hague/Visby/COGSA legislation for all periods when the Goods are in the actual or constructive custody of the Carrier.

(b) where it is forbidden by law to extend Hague/Visby/COGSA legislation to the inland part of the Multimodal Transportation contract, the Carrier shall not be responsible for loss of or damage to the Goods while the Goods are in the custody of the Inland Carrier in excess of the scope for which the Inland Carrier would have assumed the responsibility subject to its tariff.

(c) If, despite the terms herein, no legal regime clearly applies to the period of inland carriage, the Carrier and Inland Carrier shall not, in any circumstances, be liable for that part of any claim for damages caused by acts of God, acts or restraint of authority, inherent vice of the Goods, wrongful act or neglect of the Merchant, strike or stoppage of labor of any kind or extent, insufficient or defective packaging or marking or numbering of the Goods or Packages, or any cause, event or consequence which the Carrier could not avoid or prevent by reasonable diligence; nor for any other cause excluded by tariff.

(d) In context of Multimodal Transportation, where the Merchant or Carrier cannot establish in whose custody loss or damage occurred to Goods delivered to the Carrier in actual good condition, it shall be deemed, as between the Merchant and any Carrier, that the loss or damage occurred onboard the Vessel while in the custody of the Ocean Carrier.

(e) The Carrier shall not be responsible for loss of or damage to the Goods occurring before receipt of the Goods by the Carrier at the place of receipt or after delivery by the Carrier at the place of delivery.

(f) where damage is alleged to the contents of any Package delivered by the Carrier without notation for external damage, it shall in all circumstances be a prerequisite to Carrier's liability that the Merchant shall first demonstrate its delivery of the contents of the Package in actual good condition at the Carrier's place of receipt.

(g) The Carrier shall not be responsible for any loss of or damage to live animals arising or resulting from any cause whatsoever.

(h) In respect of Goods carried on deck and identified on this **Bill of Lading** to be so carried, all risks of loss or damage from perils inherent in or incidental to the custody or carriage of such Goods on deck shall be borne exclusively by the Merchant without recourse to the Carrier.

5. TARIFF

The terms and conditions of the Carrier's applicable Tariff are incorporated herein. Where a tariff has been published or filed by Carrier, Ocean Carrier or Inland Carrier governing all or part of the period of carriage, the terms of this **Bill of Lading** may, to some extent, be modified by the terms of that tariff and by documents referenced therein, such as uniform inland Bills of Lading. To the extent of any actual inconsistency between tariff and this **Bill of Lading**, the terms of this **Bill of Lading** shall control to the fullest

extent permitted by law.

6. SUB-CONTRACTING AND ADDITIONAL INSTRUCTIONS

(a) The Carrier shall be entitled to sub-contract on any terms the whole or any part of the handling, storage or carriage of the Goods and any and all duties whatsoever undertaken by the Carrier in relation to the Goods. Every servant, agent and sub-contractor (including all interests engaged in the owning or chartering of the Vessel, managers, terminal operators, stevedores, warehousemen, other independent contractors, any direct or indirect servant including their own subcontractors), any other party employed by or on behalf of the Carrier and the agents of each of them shall not in any circumstances whatsoever be liable to the Merchant and have the benefit of all provisions herein for the benefit of the Carrier as if the provisions were expressly for their benefit; and in entering into this contract of carriage, the Carrier does so not only on his own behalf but also as agent for all of them to the fullest extent permitted by the law applicable to Himalaya Clauses.

(b) Where the Carrier arranges alternative inland transportation as agent for the Merchant, the Merchant's rights and liabilities shall be governed by the law or contract applicable to the inland carriage, without further liability of the Carrier as a carrier.

7. LIBERTIES

(a) The Carrier may at any time and without notice to the Merchant;

(i) use any means of transport or storage whatsoever;

(ii) transfer the Goods from one conveyance to another including trans-shipping or carrying the same on another vessel or means of transport other than the Vessel named herein;

(iii) proceed by any route in his discretion (whether or not the nearest or most direct or customary or advertised route) at any speed and proceed to or stay at any place or port whatsoever once or more often and in any order;

(iv) load and unload the Goods at any place or port (whether or not any such port is named herein as the port of loading or port of discharge) and store the Goods at any such place or port; and

(v) comply with directions, howsoever given, of any government national or local authority.

The liberties set out herein may be invoked by the Carrier for any purpose whatsoever, including but not limited

to repairs or drydocking, shifting berths, shifting or restowing cargo, and taking in fuel or stores. Any act done or not done under this clause or any delay arising therefrom shall be deemed to be within the contracted carriage.

(b) If at any time the Carriage is or is likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of any kind including, but not limited to existence or apprehension of war, declared or undeclared, hostilities, warlike or belligerent acts or operations, riots, civil commotions, boycotts or other disturbances; epidemics or diseases, quarantine, sanitary or similar regulations or restrictions; shortage, absence or obstacles of labor of facilities for loading, discharge, delivery or handling of the Goods; strikes, lockouts or other labor troubles, whether partial or general, and whether or not involving employees of the Carrier, his agents or sub-contractors; congestion of ports, berths, freight stations or terminals; closure of, obstacle in or danger to any canal, waterway, land route or railroad; ice, landslide, earthquake or other natural effects creating obstacles to carriage (which is merely descriptive and not exhaustive, even though the circumstances giving rise to such hindrance, risk, delay, difficulty or disadvantage existed at the time this contract was entered into or when the Goods were received for Carriage), the Carrier (whether or not the Carriage is commenced) may, without prior notice to the Merchant and at the sole discretion of the Carrier, either:

- (i) carry the Goods to the contracted Port of Discharge or Place of Delivery, whichever is applicable, by an alternative route to that indicated in this **Bill of Lading** or that which is usual for Goods consigned to that Port of Discharge or Place of Delivery and the Carrier shall be entitled to any additional Freight and costs associated with such change(s); or
- (ii) suspend the Carriage of the Goods and store them ashore or afloat and endeavour to forward them as soon as possible and the Carrier shall be entitled to any associated charges or additional Freight; or
- (iii) abandon the Carriage of the Goods and/or place them at the Merchant's disposal at any place or port which the Carrier may deem safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease. In such case, the Merchant shall be responsible for any additional costs incurred by reason of the abandonment of the Goods, including but not limited to the additional charges for delivery to and/or storage at, such place or port.

8. CONTAINERS

(a) On any vessel or other mode of transportation designed to carry containers, the Carrier has the right to carry Goods in containers in any area designed for such carriage. Such carriage of the Goods shall constitute "Under deck" stowage for all purposes, including Hague/Visby/COGSA regulations and General Average.

(b) Where the Goods are not already packed into containers at the time of receipt, the Carrier shall be at liberty to pack and carry them in any type of container.

(c) In no event shall Carrier be liable for any loss or damage to Goods, container, equipment, or any third party property that arises or is incurred while such container or equipment was in possession or control of the Merchant, his agents, employees, or contractors and its sub-contractors. In case of above each Merchant shall jointly and severally indemnify, defend, and hold harmless the Carrier, its agents, employees, or contractors and its sub-contractors from and against any and all loss or damage (including survey and legal fees) howsoever caused to any Goods, container, equipment, or other property owned or furnished by the Carrier or third party, and for any other related claims, demands, or suits for third party damage or personal injury.

(d) If any container or Goods is delivered sealed by the Merchant to the Carrier, this **Bill of Lading** is evidence of the receipt only of the number of containers shown on the **Bill of Lading**, and the condition and any particulars of the contents are unknown to the Carrier; and the Merchant warrants that the containers and contents thereof are suitable for handling and carriage, and that the weight of contents is equally distributed in the container. In the event of breach of this warranty, the Carrier shall not be responsible for any loss of or damage to or in connection with the Goods and the Merchant, his agents or sub-contractors shall be liable for loss of or damage to the Goods, any other property, or for personal injury or the consequences of any other accidents or events whatsoever. If such containers are delivered by the Carrier with seals intact, such delivery shall be full and complete performance of the Carrier's obligation hereunder and the Carrier shall not be liable for any loss of or damage to the contents of the containers.

(e) The Carrier does not undertake to carry the Goods in refrigerated, heated, insulated, ventilated or any other special containers, unless special arrangements for the carriage of such containers have been agreed to in writing between the Carrier and the Merchant and special freight has

been paid. The Carrier does not accept any responsibility for the function of special containers which were not supplied by the Carrier. The Carrier does not guarantee the maintenance of any temperature inside any container. Once such container and/or equipment is/are received by Merchant, it shall be Merchant's sole obligation to ensure that container and/or equipment is/are at the required and necessary carrying temperature and conditions.

(f) The Merchant shall be deemed to have inspected the container for suitability for carriage of the Goods before packing it. The Merchant's use of the container shall be prima facie evidence of its being sound and suitable for use.

9. FREIGHT; NO SET-OFF

(a) Freight shall be payable at any lawful rate agreed with the Merchant, and will be calculated on the basis of the Particulars furnished by the Merchant; but the Carrier may at any time open, examine, weigh, measure and value the Goods and Packages to determine the accuracy of the Merchant's Particulars. If it is determined by the Carrier that the freight or charges should be higher, the Carrier may collect the additional amount from the Merchant who shall also be liable for all expenses associated with recalculation of freight or charges.

(b) Full Freight and charges including but not limited to destination charges, whether prepaid or to be collected payable in accordance with the applicable Tariff and this **Bill of Lading** shall be considered completely earned on receipt of the Goods by the Carrier, whether the Vessel or the Goods be damaged, lost or not lost, or the journey frustrated or abandoned. All Freight and charges shall be paid in full without any set-off, counterclaim, withholding or deduction whatsoever and the Merchant shall not (and renounces any right it may have to) assert any credit, set-off or counterclaim against the Carrier to justify withholding payment of any such amounts in whole or in part. All Freight and charges shall be paid in the currency named in this **Bill of Lading**.

(c) Each Merchant shall be jointly and severally liable to the Carrier for the payment of all freight, charges and other amounts due to the Carrier.

10. MERCHANT'S RESPONSIBILITY

(a) Each Merchant shall be jointly and severally responsible for any failure to perform any Merchant's obligations under any of the terms of this **Bill of Lading**; and each shall indemnify, defend and hold harmless the Carrier

against all liability, loss, damages and expense, including attorneys fees and other legal fees, which the Carrier may sustain or incur arising or resulting from any such failure of performance by the Merchant or any of them. The responsibility of each Merchant shall not be diminished by the existence of any lien claim on the Goods.

(b) No representation is made by the Carrier as to the weight, contents, measure, quantity, quality, description, condition, temperature, marks, numbers or value of the Goods and the Merchant shall be solely liable for such description or particulars, for which the Carrier shall not be liable.

(c) If any particulars of any letter of credit and/or import license and/or sales contract and/or invoice or order number and/or details of any contract to which the Carrier is not a party are shown on the front hereof, such particulars are shown at the sole risk of the Merchant and for his convenience. The Merchant agrees that such particulars shall not be regarded as a declaration of value and shall in no circumstances whatsoever increase the Carrier's liability under this **Bill of Lading** to an amount greater than it would have been had such particulars not been shown on the front hereof, and the Merchant agrees to indemnify the Carrier for any increased legal liability imposed under any law in any jurisdiction as a result of such particulars having been shown on the front hereof, including legal expenses and costs.

(d) Any reference on the face of the **Bill of Lading** to any particulars of the Goods is furnished by the Merchant, and the Carrier shall not be responsible for the accuracy thereof. The Merchant warrants to the Carrier that the particulars furnished by him are correct.

(e) Each Merchant warrants that equipment, whether owned or leased by the Carrier, would be returned to the Carrier within a reasonable time stipulated in the applicable tariff and further promises and agrees to pay equipment detention charges stipulated in the applicable tariff including the costs and expenses of recovering the same in case of failure to do so.

11. LIEN

(a) The Carrier shall have a lien on the Goods, or any cargo remaining within the Carrier's custody and/or control, for all freight, dead freight, demurrage and the costs and expenses of recovering the same and any other sums whatsoever payable by the Merchant under this **Bill of Lading** or any other **Bill of Lading** between Carrier and Merchant and may enforce this lien, by all available means, including public or private

sale. The lien shall apply to Goods, and any other cargo or other property belonging to the Merchant while in the Carrier's possession. The net proceeds of any such sale, after first deducting all costs and expenses in executing the lien shall be applied towards the settlement of the amounts due the Carrier. If on sale of the Goods, the proceeds fail to cover the amount due and the cost and expenses incurred, the Carrier shall be entitled to recover the deficit from the Merchant. The Carrier shall be under no obligations with respect to the Goods, or the proceeds, but to account for the balance of such proceeds.

(b) The Carrier shall have a lien on the Goods for all expenses and charges incurred in protecting or caring for the Goods, whether the Goods be damaged or not, and for any payment or liability of whatsoever nature incurred by the Carrier in connection with the Goods, including legal fees incurred through attachments or interpleader or other proceedings in respect of the Goods.

12. DANGEROUS GOODS, CONTRABAND

(a) The Carrier undertakes to carry Goods of a hazardous, injurious or dangerous nature only upon the Carrier's written acceptance of a prior written application by the Merchant for the carriage of such Goods.

(b) The Merchant shall ensure that the nature of dangerous Goods is distinctly and permanently marked and manifested on the outside of the packages and containers, and shall submit all documents or certificates required by any applicable statutes or regulations.

(c) Whenever Goods are discovered to be contraband or prohibited by any applicable laws or regulations, the Carrier shall be entitled to have such Goods rendered innocuous, thrown overboard or discharged or otherwise disposed of at the Carrier's discretion without compensation.

13. DELIVERY

(a) The Carrier shall have the right to deliver the Goods at any time at any place designated by the Carrier within the geographic limits of the place of delivery.

(b) The Merchant shall take delivery of the Goods within the time provided for in the applicable Tariff. If the Merchant fails to do so the Carrier shall be entitled, without notice, to unpack the Goods if packed in Containers and/or sell, destroy, dispose of or to store the Goods ashore, afloat, in the open or under cover, at the sole risk of the Merchant. Such storage shall constitute due delivery

hereunder, and thereupon the liability of the carrier in respect of the Goods stored as aforesaid shall cease, and the Merchant shall be fully responsible for the costs of such transloading or storing.

(c) Refusal or failure (directly or by omission or by delay) by the Merchant to take delivery of the Goods in accordance with the terms of this **Bill of Lading** and/or to mitigate any loss or damage thereto shall constitute a waiver by the Merchant to the Carrier of any claim whatsoever or howsoever relating to the Goods or the Carriage thereof.

(d) In the event the Carrier agrees, at the request of the Merchant to amend the Place of Delivery stated herein, the terms and conditions of this **Bill of Lading** shall continue to apply, only to the extent provided by the applicable Tariff, until the Goods are delivered by the Carrier to the Merchant at the amended Place of Delivery. Unless explicitly provided in tariff or contract, in case of such diversion, Carrier shall be under no liability whatsoever for loss, damage or delay to the Goods, howsoever arising.

(e) In any case the Carrier's responsibility shall cease when the Goods have been delivered to the Merchant, its agent or subcontractors or otherwise according to law at the place designated by the Carrier. Delivery of the Goods to the custody of Customs or any other authorities shall always constitute final discharge of the Carrier's responsibility hereunder.

(f) For Goods received by the Carrier in containers the Carrier shall only be responsible for delivery of the total number of containers shown on the face of the **Bill of Lading**, and shall not be required to unpack the containers.

(g) Where the Goods have been packed into containers by the Carrier, the Carrier may unpack the containers and deliver the contents thereof and shall not be required to deliver the Goods in containers.

(h) The Carrier shall not be liable for failure to deliver in accordance with marks unless the Goods or Packages shall have been clearly, legibly and permanently marked.

14. NOTICE OF CLAIM AND TIME FOR SUIT

(a) Unless notice of loss or damage and the general nature of such loss or damage be given in writing to the Carrier or his agents at the Place of Delivery (or Port of Discharge if no Place of Delivery is named on the reverse hereof) before or at the time of removal of the Goods or if the loss or damage is not apparent within three days thereafter, such removal shall be prima facie evidence of the delivery by the Carrier

of the Goods as described in this **bill of lading**.

(b) In any event and however founded the Carrier shall be discharged from all liability unless suit is brought within one year after the delivery of the Goods or the date when the Goods should have been delivered.

(c) where the Merchant contests the general application of Hague/Visby/COGSA legislation, proof that damage actually occurred in the care, custody or control of the Inland Carrier, and that claim or suit were not made within the time limits provided by law and tariff applicable to the Inland Carrier shall create an absolute defense to the liability of the Ocean Carrier.

15. DAMAGES

(a) In no event shall the Carrier be liable for more than the contract value to the Merchant of the damaged or lost items at the place and time they were or should have been delivered to the Merchant. Where permitted by law, the Carrier's liability hereunder shall not exceed the Merchant's net invoice cost, freight and insurance premiums, if paid.

(b) In no event shall the Carrier be responsible for consequential damages, for lost profits, for non-compensatory damages, for exemplary damages, or for damages of any kind arising from delay, loss of market, depreciation or damages payable by the Merchant to any third party.

16. LIMITATION OF DAMAGES

(a) Damages shall, in all events, be limited in accordance with the applicable Hague/Visby/COGSA legislation.

(b) Unless the nature and value of the Goods have been declared in writing by the Merchant before shipment and inserted in this **Bill of Lading**, and ad valorem freight regulated in the applicable tariff paid in advance;

(i) where Hague Rules apply, the Carrier shall in no event be liable for loss or damage in an amount exceeding the minimum allowable limit per package or unit in the applicable version of the Hague Rules.

(ii) where U.S. COGSA applies, the Carrier shall in no event be or become liable for any loss of or damage to or in connection with the Goods in an amount exceeding U.S. dollars 500 per package or, in case of Goods not shipped in packages, per customary freight unit.

17. GENERAL AVERAGE AND SPECIAL CHARGES

(a) General Average to be adjusted, stated and settled at any port or place at the Carrier's option, according to the

York-Antwerp Rules 1974 as amended 1994 (or as amended 1990 at the discretion of the Carrier) and in the currency selected by the adjuster, who shall be appointed by the Carrier.

(b) Average agreement, non-separation agreement, deposit or bond shall be furnished by the Merchant to the Carrier before delivery of Goods subject to claims for contribution in General Average.

(c) The Amended Jason Clause as approved by the Baltic and International Maritime Conference (BIMCO) is incorporated here by this reference.

(d) The Both-to-Blame Collision Clause as adopted by BIMCO is incorporated here by this reference.

(e) In case of special charges or expenditures unforeseen by the terms of this **Bill of Lading**, and not compensable in General Average, the Merchant shall reimburse the Carrier for all such special charges and expenditures that might be applicable to the Goods.

18. DEVIATION

No reasonable or customary action taken by the Carrier during the carriage of the Goods shall constitute a deviation, and in particular, no action taken by the Carrier pursuant to the Liberties Clause above shall constitute a deviation. It shall be prerequisite to the Merchant's claim for damages on account of deviation that the Merchant's insurance shall first have been cancelled on account of the alleged deviation. No deviation shall oust the right to limit liability for damages, and the Carrier shall always be entitled to the full benefit of all privileges, rights and immunities contained in this **Bill of Lading** and any incorporated tariffs.

19. SEVERABILITY OF TERMS

(a) The terms of this **Bill of Lading** are severable, and if any part or term is declared invalid or unenforceable, the validity or enforceability of any other part or term shall not be affected.

(b) In particular, if any term of this **Bill of Lading** is held to be repugnant to the applicable Hague/Visby/COGSA legislation or to any tariff to any extent, such term shall be void to that extent but no further.

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